House prices fall for a sixth month as rate rises bite

National home values have now fallen for six months in a row. HSBC's chief economist thinks the slide could reach 13%, which would be a large hit to household wealth.

WHAT HAPPENED

- National values fell **1.1% in September** and 3.7% over the quarter, leaving them 5.2% below their March 2026 peak (Cotality).
- Sydney fell 4.9% over the quarter and is **8.6% below its peak**. Darwin was the only capital city where values rose.
- Brisbane and Perth fell 4.7% over the quarter but are still up 5.9% and 10.1% over the year.
- Rents rose only 0.5% over the quarter, and the vacancy rate rose to 2.0%. HSBC's Paul Bloxham sees falls of up to 13%, and ANZ forecasts a record **13.5%** fall from peak to trough.

BY THE NUMBERS

−1.1%
national home values, September

−5.2%
below the March 2026 peak

−8.6%
Sydney, below its February peak

13.5%
ANZ's forecast fall from peak to trough

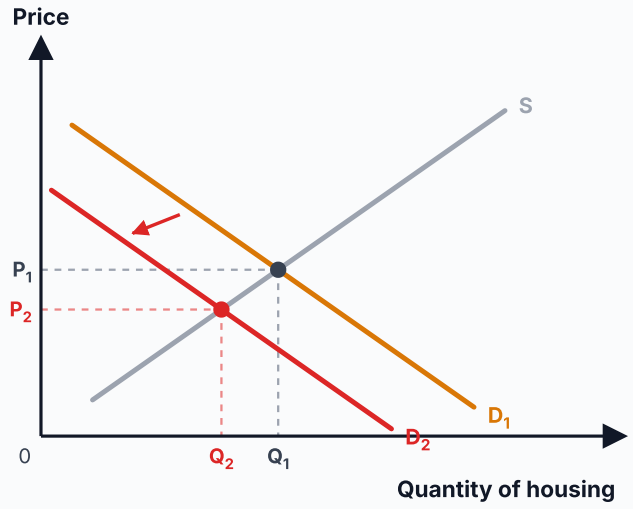
KEY TERMS

Wealth effect: households spend less when the value of their assets falls.

Asset price: the market value of property, shares and similar assets.

Distribution of wealth: how assets are shared across households.

DIAGRAM — Higher interest rates reduce demand for housing



Each rate rise cuts how much buyers can borrow. Demand for housing shifts from **D_1 to D_2**.

Prices fall from **P_1 to P_2** and sales volumes fall from **Q_1 to Q_2**. Supply is fixed in the short run, so most of the adjustment comes through price.

Exam angle: falling house prices are a **channel of monetary policy**. Lower household wealth weakens consumption and helps cool inflation, but recent buyers with large loans are hit hardest.

FLOW CHART — The asset-price channel of monetary policy

Cash rate rises → Mortgage rates rise → Borrowing capacity falls → Housing demand and prices fall → **Wealth effect reduces spending**

SYLLABUS LINK

TOPIC 3: distribution of income and wealth (housing is most households' largest asset). It links to **TOPIC 4** (the monetary policy transmission mechanism).

TRY THIS

Explain how rising interest rates affect the distribution of wealth in Australia. **(4 MARKS)**

Articles: Cotality, 'Monthly Housing Chart Pack – October 2026' — https://www.cotality.com/au/insights/articles/monthly-housing-chart-pack-october-2026 · ABC The Business, 'Property prices set to slump as much as 13 per cent', 22 Oct 2026 — https://www.abc.net.au/news/programs/the-business/2026-10-22/property-prices-set-to-slump-as-much-as-13-per-cent-says-hsbc-s-/107297378 · CathNews (republishing Guardian Australia), 'Budget update projects weaker growth and higher unemployment', 23 Oct 2026 — https://cathnews.com/2026/10/23/budget-update-projects-weaker-growth-and-higher-unemployment/